



FREE NEXTLEVEL GUIDE

# First Steps in Fixed Income

**The minimum you need to know before investing your first dollar.**

A quick guide with the most common mistakes, the essential glossary and the checklist before any purchase.

## The 3 mistakes that cost the most money

Most fixed income losses do not come from bad luck, they come from rushed decisions. These three mistakes show up constantly among beginners.

Choosing only for the highest rate on the screen, without looking at term and liquidity.

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Putting the emergency fund in a product without daily liquidity.

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Comparing a tax-exempt product with a taxed one without adjusting the basis.

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### The golden rule

Before looking for the highest rate, define the goal, the term, the liquidity needed and the maximum acceptable risk. A higher rate almost always comes with some kind of trade-off.

# Essential glossary in 5 terms

| Term            | What it means                                                                 |
|-----------------|-------------------------------------------------------------------------------|
| Base rate       | The economy's benchmark interest rate — reference for floating-rate products. |
| Reference rate  | A return benchmark used in CDs and tax-exempt notes.                          |
| Inflation index | The official inflation index — inflation-linked products seek a real gain.    |
| Fixed rate      | A rate agreed at the start, fully valid if held until maturity.               |
| Liquidity       | The time and ease needed to turn the investment into available cash.          |

## Emergency fund in 60 seconds

### Practical reference

3 to 12 months of essential expenses, depending on how stable your income is.

### What to prioritize

Daily liquidity, low risk and simplicity — this is not the money to chase the highest rate.

### Deposit insurance in one sentence

The deposit guarantee fund protects CDs and similar notes up to a limit per taxpayer ID per institution, but it is not a strategy on its own — liquidity and the issuer also matter.

# Checklist before any purchase

- I know what goal this money will be used for.

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- The product's term matches the goal's date.

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- I compared the net rate, not just the advertised rate.

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- I know whether there is deposit insurance and I am within the limits.

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- I could explain this purchase to someone else in 2 minutes.

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This checklist covers the basics. To compare products with a complete method, understand mark-to-market, build a layered portfolio and avoid the most costly mistakes, the full guide "Smart Fixed Income" brings the detailed step by step.

# Want the complete method?

The "Smart Fixed Income" guide has 49 pages with the full step by step: treasury bonds, CDs and tax-exempt notes, private credit, a layered portfolio, a 30-day plan and ready-to-use workbooks.

[See the complete guide](#)